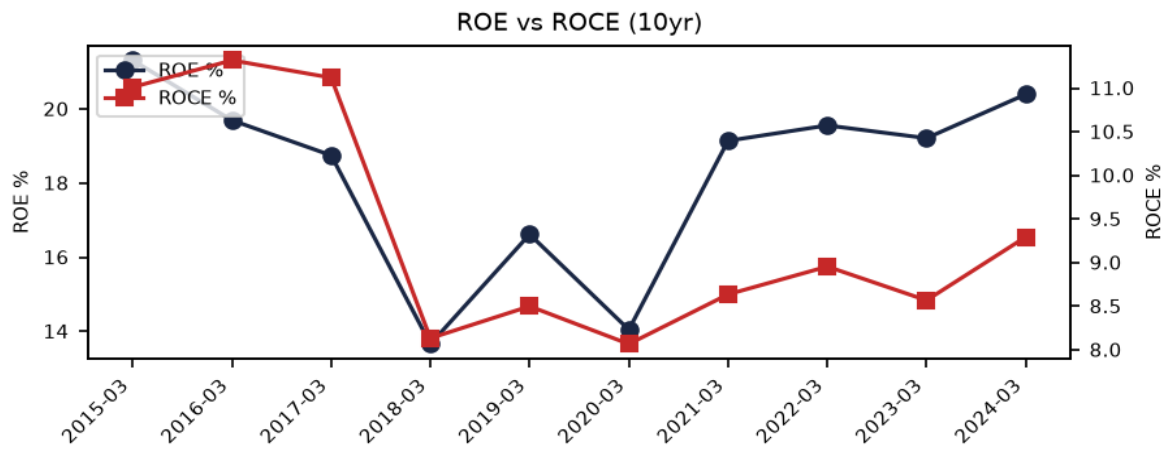
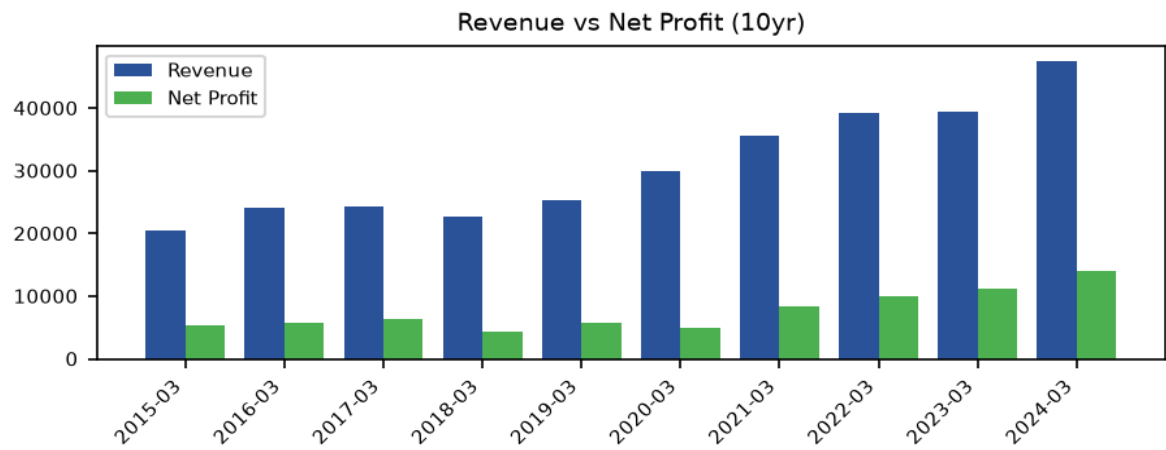
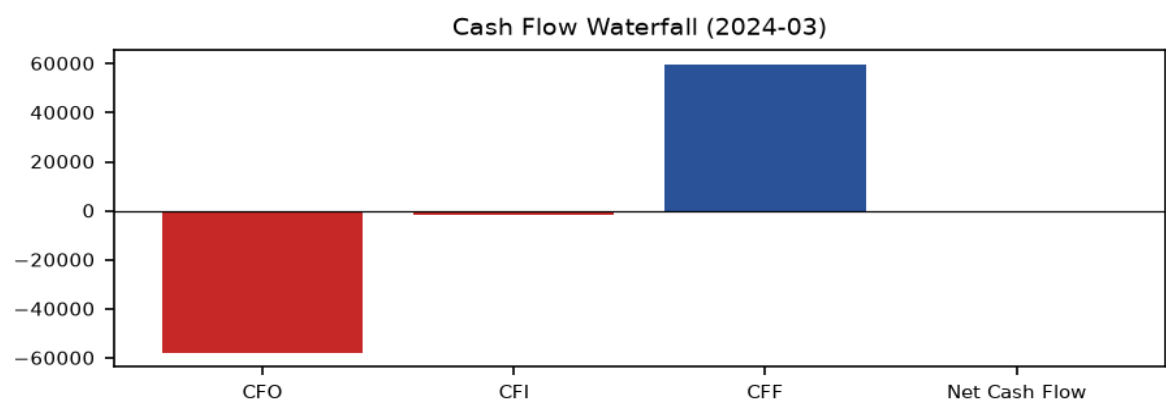
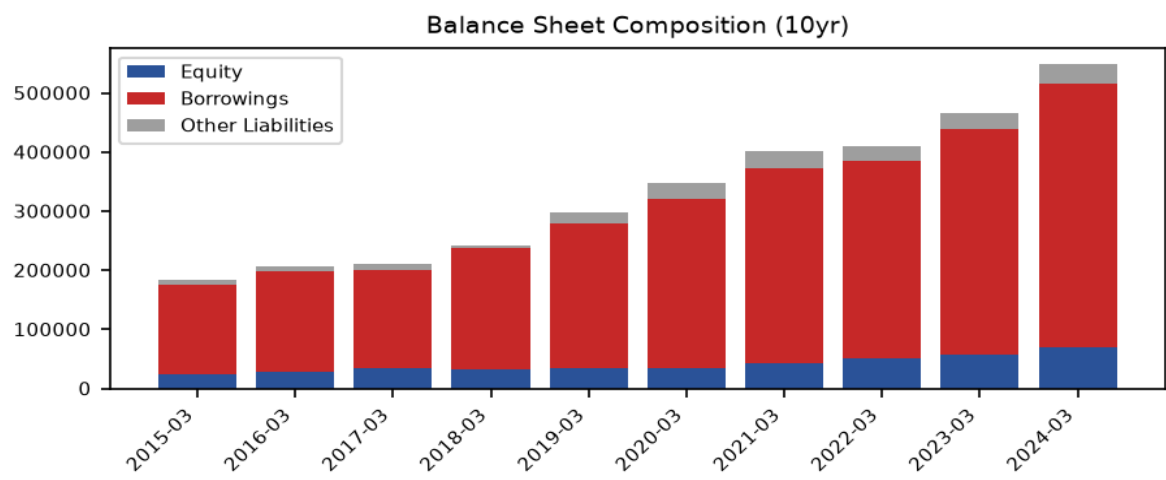


RECLTD

20.4% ROE	9.3% ROCE	6.4x D/E
13.3% Revenue CAGR (5yr)	100.8% OPM	29.8% Net Profit Margin



RECLTD



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation Pattern: Growth Funded by Debt